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KSE-100 **V**

167,971

▼ 1.49% Mon ·
-2,541 pts

S&P 500 **V**

▼ **0.48%**

Nasdaq -0.56% ·
Dow -0.29%

US 10Y / 2Y **V**

4.99 / 4.66

10Y brushed 5% ·
hawkish

BRENT / WTI **V**

\$108.15 / \$102.64

4-mo high ·
Hormuz talks stall

GOLD **V**

\$4,310

-1% · silver \$63.30

USD/PKR **V**

277.51

interbank ·
reserves at record

01 Five Things You Need To Know To Start Your Day

PSX SELLOFF

The **KSE-100** shed 2,541.20 points (-1.49%) on Monday to close at 167,970.66, its worst session in weeks, as fresh Houthi strikes on Saudi Arabia and Iranian attacks on Gulf shipping triggered broad de-risking. Breadth was ugly — just 83 of 492 traded names advanced against 373 decliners — while volume thinned to 570.5m shares from 687.5m the prior session. [Business Recorder](#) and [The Nation](#) confirm the print. Sentiment: **risk-off**.

TUESDAY REBOUND

Buying returned at the open Tuesday, with the index up 1,999.58 points (+1.19%) to 169,970.23 by 9:35am as the **State Bank's FX reserves hit an all-time high of \$21.4bn** on Eurobond inflows. Index-heavy names — OGDC, PPL, MARI, POL, MCB, MEBL, HBL and NBP — led, with autos, cement, banks, E&P, OMCs, power and refinery all in the green per [Business Recorder](#). Sentiment: **cautiously firmer**.

FED ON DECK

The US **10-year Treasury yield briefly topped 5% intraday** for the first time since 2023 before settling near 4.99%, while the 2-year climbed to 4.66%, its highest since mid-2024. Wall Street slipped in response — S&P 500 -0.48% to 7,619.98, Dow -0.29%, Nasdaq -0.56% — with forecasters split ahead of Wednesday's decision: J.P. Morgan sees a 25bp hike while Goldman Sachs calls one "very unlikely." [CNBC](#) and [FedRateCalc](#). Sentiment: **hawkish tension**.

HORMUZ RISK PREMIUM

Brent settled at \$108.15/bbl, a four-month high, and WTI at \$102.64, both up over 2%, after Oman postponed Gulf-Iran talks on Strait of Hormuz shipping and Saudi Arabia's drone-damaged East-West pipeline stayed shut. Vessel transits through the Strait fell to single digits over the weekend, reviving the crude risk premium per [Vantage Markets](#) and [Trading Economics](#). A costlier import bill is a direct headwind for Pakistan's external account. Sentiment: **import-bill headwind**.

METALS PULLBACK

Gold eased roughly 1% to \$4,310/oz and silver slid to about \$63.30, both retreating from richer levels as a firmer dollar and near-90% odds of a Wednesday rate move pressured the complex — silver's industrial linkage leaves it more exposed than gold's safe-haven bid. Per [Kitco](#) and [Yahoo Finance](#). Sentiment: **profit-taking**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Monday's 1.49% PSX rout — driven by renewed Houthi and Iranian attacks in the Gulf — gave way to a firmer Tuesday open as the **State Bank's reserves hit a record \$21.4bn** on Eurobond proceeds. The SBP has held its policy rate at 11.5% for a third straight meeting even as August CPI ran hot at 11.15% y/y, well above the 5–7% target band, per [Trading Economics](#). Six-month KIBOR sits at 11.86%. The [IMF's fourth EFF review mission](#) lands September 23 for a near two-week visit, with roughly \$1bn in tranche disbursement riding on progress against fiscal targets that have slipped on wheat and sugar market interventions. Meanwhile the [Finance Bill 2026](#) tax overhaul — salaried-slab relief, a 1.25% minimum tax, and digital-invoicing enforcement — continues to work through implementation.

B. GCC & Middle East

The Hormuz stand-off is the region's dominant swing factor: Saudi Arabia's East-West pipeline remains shut after drone strikes, and Oman's postponement of Gulf-Iran talks has pushed Brent to a four-month high near \$108. Against that backdrop, [OPEC+ continues its gradual output normalisation](#), having added 188,000 bpd in August across seven members. Non-oil momentum stays intact — the bloc's composite PMI held at 51.5 for a 21st straight month above the 50 mark, with [UAE's reading climbing to 54.2](#) and Saudi Arabia's at 56.6. Riyadh's [PIF Board approved its 2026-2030 strategy](#), pivoting from giga-project scale toward commercial returns in logistics, mining and AI infrastructure ahead of the [Saudi Mega Projects Summit \(Sep 28-30\)](#), which will showcase a pipeline exceeding \$200bn.

C. Global Intelligence

US markets softened Monday as the 10-year Treasury yield briefly breached 5% for the first time since 2023, AI-IPO safety jitters weighed on chipmakers, and crude's Hormuz-driven spike added to inflation angst. The Fed's Wednesday decision is now the week's pivot: [consensus is split](#) between a 25bp hike (J.P. Morgan) and a hold (Goldman Sachs) — a rare divergence this close to a meeting. On the policy front, [Congress returned from recess](#) with government funding secured through December 11 but no consensus on an AI regulatory framework, leaving the field to a 29-state patchwork with only four legislative days left before members turn to the November 3 midterms.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	IMF's 4th EFF/3rd RSF review mission arrives Sep 23, alongside the Finance Bill 2026 tax overhaul	Banks, FMCG, Real Estate, Sovereign Eurobonds	Wins: salaried taxpayers, property transactors, and banks positioned for the ~\$1bn EFF tranche Losses: importers facing a wider bill from the Hormuz oil shock; fiscal credibility dented by wheat/sugar intervention slippage
Regional — GCC	PIF's 2026-2030 strategy re-weights toward commercial returns, alongside continued OPEC+ output normalisation	Energy, Construction, Logistics, Mining	Wins: logistics, mining and AI-infrastructure allocations; oil exporters capturing the Hormuz risk premium Losses: giga-project contractors facing write-downs and stretched delivery timelines
Global	Congress returns without an AI framework , funded through Dec 11, as the Fed's Sep 16 decision looms	Tech, Rate-sensitive Equities, Treasuries	Wins: AI incumbents facing no near-term federal guardrails Losses: rate-sensitive growth stocks and long-duration bonds if the Fed leans hawkish

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

167,442

Monday's session low; deeper support near the 165,000 handle

PIVOT EST.

167,971

Monday's close

RESISTANCE EST.

170,438

Monday's intraday high, coinciding with Friday's prior close

We read Tuesday's early bounce as relief buying against a still-hawkish macro backdrop, not a trend reversal. The **Hormuz risk premium in oil** is a direct tax on Pakistan's import bill and a headwind for the current account even as SBP reserves hit a record \$21.4bn. Wednesday's FOMC decision — genuinely contested between a hike and a hold — is the week's key swing factor for global risk appetite and, by extension, foreign flows into frontier equities. We would fade strength into the 170,438 resistance band and treat a close below 167,442 as confirmation that Monday's selling has more room to run. All levels are indicative desk estimates, not recommendations.

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